



ENCAP INVESTMENTS L.P.
EnCap Energy Capital Fund XII

Quarterly Review

As of September 30, 2023

Confidential



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended September 30, 2023

Transactions		
<i>Type</i>	<i>#</i>	<i>\$ in millions</i>
Commitments	2	46.3
Investments	3	(18.7)
Distributions-Cash	0	0.0

Fund XII made new commitments or adjustments to the following portfolio companies (\$ in millions):

Commitments:

Ridge Runner	\$ 146.3
Double Eagle IV	(100.0)
	<u>\$ 46.3</u>

Fund XII made investments in portfolio companies as follows (\$ in millions):

Investments:

Ridge Runner	\$ 4.9
Double Eagle IV	(10.1)
Grayson Mill III	(13.5)
	<u>\$ (18.7)</u>

Fund XII received no cash distributions from portfolio companies.

Fund Performance Summary (\$ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

<i>Date of Initial Investment</i>	<i>Total Committed</i>	<i>Capital Invested</i>	<i>Realized Proceeds</i>	<i>Unrealized Value</i>	<i>Total Value</i>	<i>Gross IRR</i>	<i>Net IRR</i>
June-23	\$ 896.3	\$ 485.5	\$ 0	\$ 575.8	\$ 575.8	64.7%	60.7%



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII
Summary of Significant Events and Valuation

Portfolio Status

Fund XII								
(As of September, 2023; \$ in millions)								
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
<i>Realized or Substantially Realized Investments</i>								
None		\$ -	\$ -	\$ -	\$ -	\$ -	-	-
		-	-	-	-	-	-	-
<i>Unrealized Investments</i>								
Double Eagle IV	Jun-23	350.0	273.7	-	297.8	297.8	1.1x	
Grayson Mill III	Jun-23	400.0	206.9	-	273.1	273.1	1.3	
Ridge Runner	Aug-23	146.3	4.9	-	4.9	4.9	1.0	
		896.3	485.5	-	575.8	575.8	1.2x	
		\$ 896.3	\$ 485.5	\$ -	\$ 575.8	\$ 575.8	1.2x	64.7%

Comparison to prior quarter
(\$ in millions)

	Valuation		Q3 2023 Cash	Valuation Increase	% Change in Unrealized	Comments (> \$5MM and 5% change)
	6/30/2023	9/30/2023	Inv. (Distrib.)	(Decrease)	from 6/30/2023	
Double Eagle IV	\$ 283.8	\$ 297.8	\$ (10.1)	\$ 24.1	8.5%	Oil prices and good drilling results
Grayson Mill III	220.4	273.1	(13.5)	66.2	30.0%	Oil prices and good drilling results
Ridge Runner	-	4.9	4.9	-	n/a	
	\$ 504.2	\$ 575.8	\$ (18.7)	\$ 90.3	17.9%	

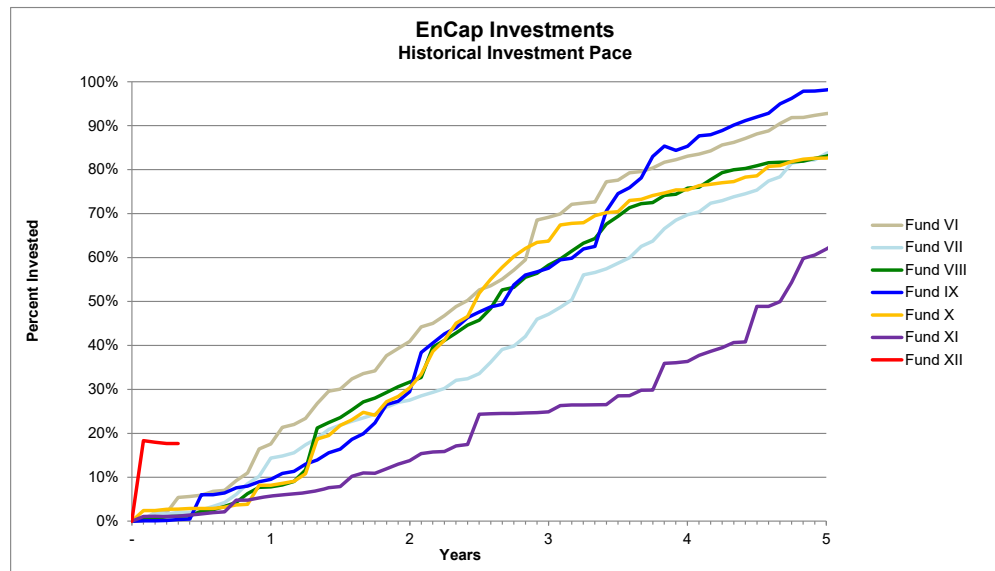
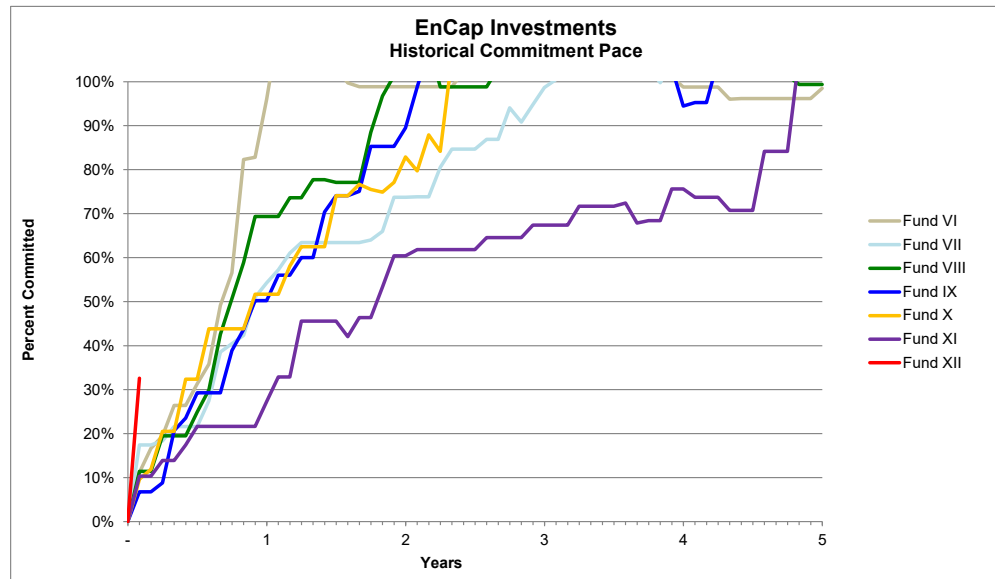
EnCap Energy Capital Fund XII

Summary of Significant Events and Valuation

Projected Contributions and Distributions as a Percentage of Commitment

	2023	2024	2025
Contributions	20%	20%	20%
Distributions	0%	0%	0%

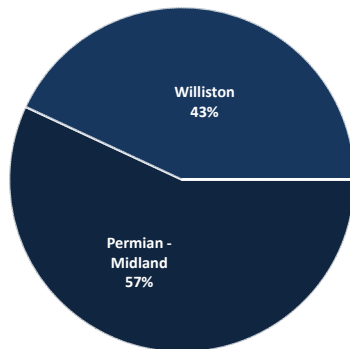
Commitment and Investment Pace



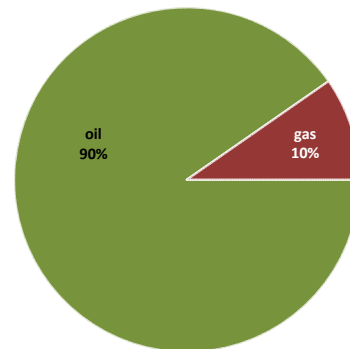
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund XII Capital Invested By Basin (Unrealized)

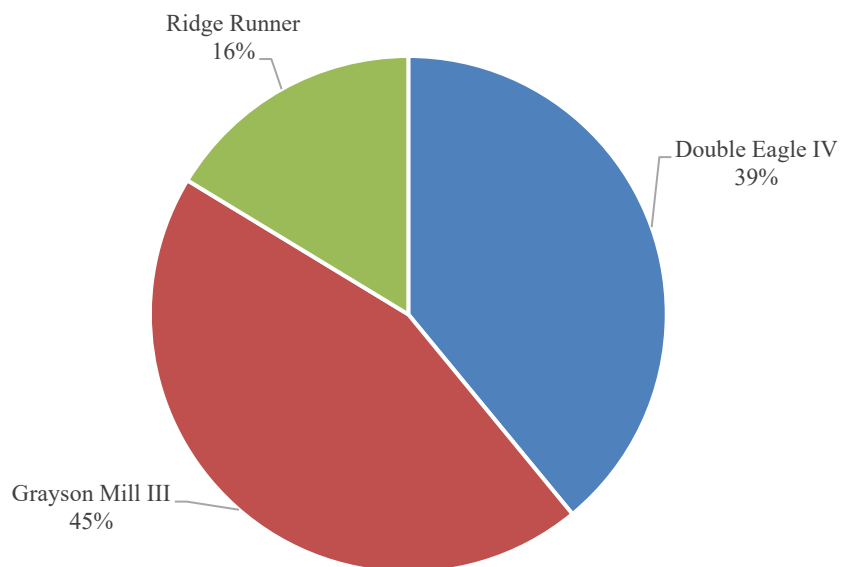


**Fund XII Oil & Gas Mix
 (Unrealized - Investment Weighted)**



gas @20:1 mcf/bo
 NGL's included in oil @0.6bbl/bo

Fund XII Unrealized Commitment Concentration





Significant Events and Transactions

- Double Eagle IV** - Aggregated >50,000 net acres in the Permian Basin and increased development pace to a 5-rig development program
- Grayson Mill III** - Assumed operations on acquired Orintiv Bakken assets and now running a 1-rig development program
- Ridge Runner II** - New Delaware Basin focused team with extensive track record operating assets in the area

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q3 2023, EnCap managed Fund XII in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.



Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
 - a. Management fees
 - b. Net operating income (loss)
 - c. Realized gains (losses)
 - d. Unrealized gains (losses)
 - e. Unrealized incentive allocation
 - f. Incentive payments to the GP
 - g. Contributions paid
 - h. Distributions received
 - i. Recallable distributions received
 - j. Tax withholdings, if applicable
 - k. Portfolio company summary cash flows
2. Status of Payout
3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices
2. Quarterly management fee calculations
3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)
 - a. Fund organization information
 - b. Portfolio company organization information
 - c. Portfolio company financial information
4. Supplemental Schedule of Investments
5. All tax reporting
6. Annual audited financial statements
7. Advisory Board presentations
8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.



Section II: Industry Overview

Crude Oil Overview

Crude oil spot prices (“WTI”) finished up ~29% QoQ and ~14% YoY. Oil prices spent most of the quarter hovering in the low \$80/Bbl range as OPEC+ production held steady throughout September. The latest OPEC+ data confirms production remained at ~28 MMBbl/d. The big four producers (Iraq, Kuwait, Saudi Arabia and UAE) continue to hold roughly 5 MMBbl/d of spare capacity as production from these countries totaled ~19 MMBbl/d during the month. OPEC+ has communicated that production targets will remain stable through the remainder of the year. The cartel’s next meaningful meeting will likely be at the end of November or early December at which time it is expected that 2024 production quotas will be heavily discussed. Post quarter-end the geopolitical risk premium has returned to the oil markets as tensions between Hamas and Israel have escalated. Most of this geopolitical risk premium is attributed to potential Iranian supply disruptions should the current conflict escalate further or if future sanctions are placed on Iranian oil exports.

Natural Gas Overview

Natural gas spot prices (“Henry Hub”) rebounded slightly during the quarter and finished up ~8% QoQ, but still materially down ~58% YoY. The natural gas strip deck continues to remain in contango with the back of the curve (36-48 months out) hovering at ~\$4/MMBtu. Most analysts continue to expect near-term pricing weakness due to high current production and limited demand drivers in 2023. LNG growth beginning in late 2024 should be a bullish driver going forward.

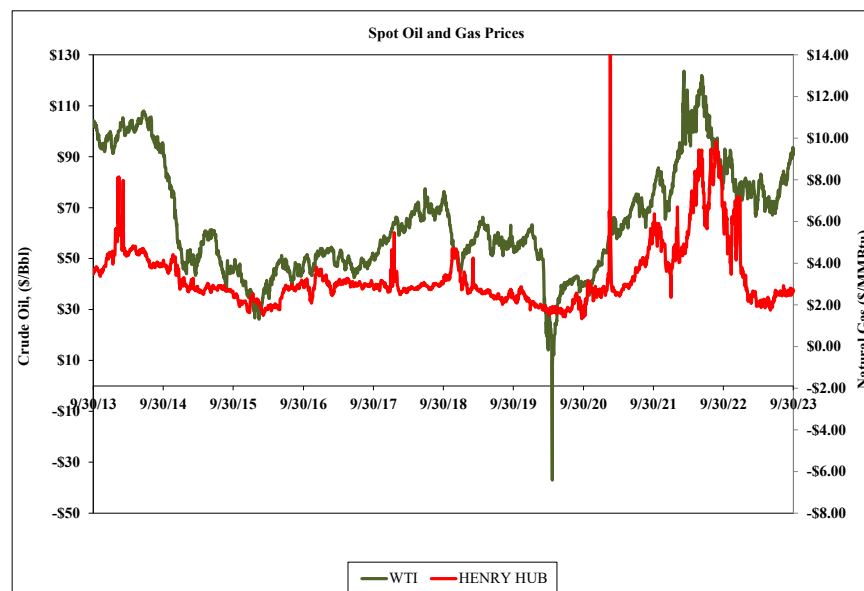


Figure 1: Oil & Gas Spot Prices

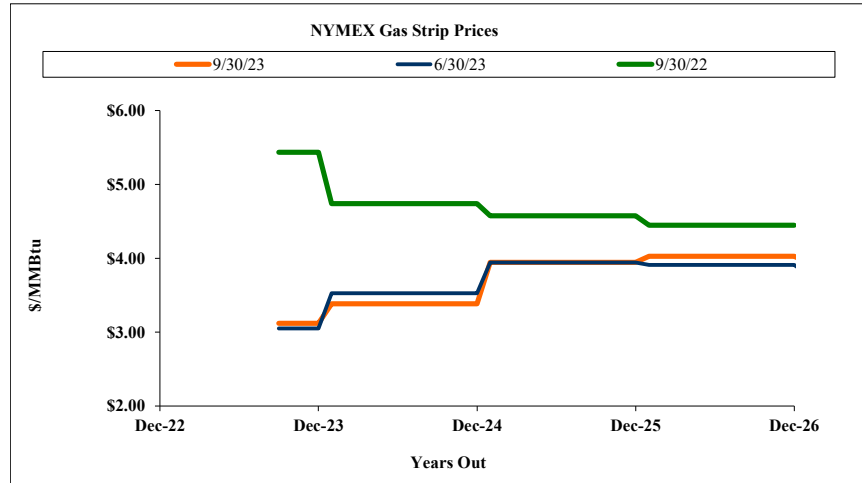


Figure 2: Natural Gas (Henry Hub) Strip Prices

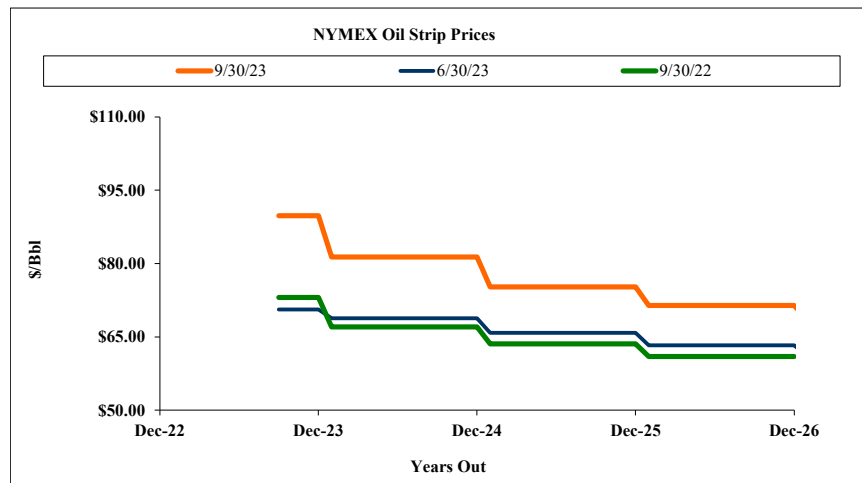


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q3 2023, the total U.S. rig count (as measured by Baker Hughes) decreased 8% QoQ and 19% YoY. The U.S. total natural gas rig count finished the quarter at 116 rigs, down from 124 rigs running at the end of Q2 2023. Year-over-year, the U.S. total natural gas rig count finished down 27%. The U.S. total oil rig count decreased 8% during Q3 2023, moving from 545 rigs at the beginning of the quarter to 502 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished down 17% or ~102 rigs.

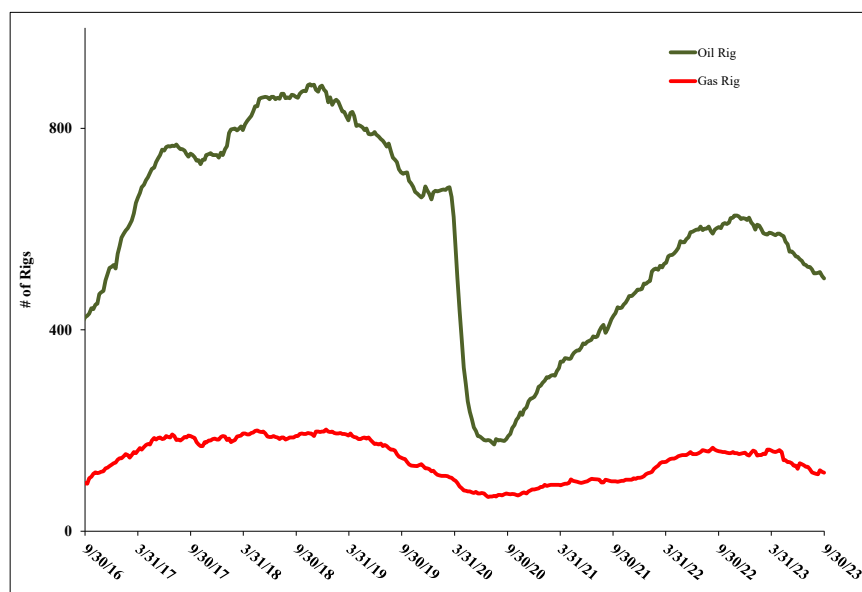


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

Upstream M&A activity remained strong during the quarter with more than \$14.1 billion in total deal value and \$47 billion in total deal value year to date. Subsequent to quarter-end Exxon's announced acquisition of Pioneer for \$64.5 billion and Chevron's announced acquisition of Hess for \$60 billion put the annual M&A total value well above \$100 billion for the first time since 2014. The Permian Basin remains the epicenter for M&A activity as potential buyers scramble to acquire remaining Tier 1 available inventory. Most analysts expect that corporate M&A consolidation will remain strong through year-end and into 2024. Notable transactions during the quarter included 1) Exxon's \$4.9 billion acquisition of Denbury Resources 2) Permian Resources' \$4.5 billion acquisition of Earthstone Energy and 3) Civitas' \$2.1 billion acquisition of Vencer's Midland Basin assets.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group and National Bank of Canada.



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EnCap Energy Capital Fund XII

Section III: Portfolio Companies

1. DOUBLE EAGLE IV
2. GRAYSON MILL III
3. RIDGE RUNNER II



Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

- 1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.
- 2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

The reserve categories were generally risked as follows:

- a. PDP – no discount applied
- b. PDNP – a 20% discount applied
- c. PUD – a 40% discount applied
- d. Probable – a 80% discount applied
- e. Possible – a 90% discount applied

The average NYMEX strip prices by year as of September 30, 2023 were as follows:

	<u>\$/BO</u>	<u>\$/MMBTU</u>
2023	89.80	3.12
2024	81.36	3.39
2025	75.23	3.95
2026	71.43	4.03
2027+	68.51	3.94

Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued at measurable inputs, such as original acquisition price and more recent public or private transactions in similar assets.

- 3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

Note: Valuation assumptions 1) through 3) as presented above apply to all investments currently held by Fund XII. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.

- 4) Non-restricted public securities are valued at the quoted price at the end of the quarter.
- 5) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.



- 6) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).
- 7) Redeemable preferred securities are valued at the face amount of the issue plus accrued dividends (less any reserve for uncollectible amounts).
- 8) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.



Double Eagle Energy Holdings IV, LLC

Company Description

Double Eagle Energy Holdings IV, LLC (“Double Eagle”) was formed in March 2022 and is based in Fort Worth, TX. Double Eagle is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Double Eagle II in 2014 with a focus on the Midland Basin. Over the course of 24 months, Double Eagle leveraged deep industry and in-basin relationships as well as an unparalleled “land machine” to build a position of ~71,000 net acres in the core of the Midland Basin. Double Eagle II invested a total of ~\$520 million in the assets, and ultimately sold to Parsley in 2017 for ~\$2.8 billion, realizing a gross 3.3x ROI and 95% IRR.

Following the success of Double Eagle II, Management formed Double Eagle III to re-enter the Midland Basin in 2017. Shortly after formation, Double Eagle III merged with Four Point to form DoublePoint. The team ultimately invested a total of ~\$1.8 billion in acquisitions and development capital. Management executed on a sophisticated ground game, closing 78 acreage trades over 50,000 net acres, to create a blocky drill-ready position of ~98,000 net acres in the core of the Midland Basin. The team successfully operated 7 horizontal rigs with 3 frac crews, drilling 266 wells and growing production from 8 MBOED in Q1 of 2019 to 90 MBOED in April of 2021. DoublePoint ultimately sold to Pioneer in May of 2021 for ~\$6.4 billion, representing a gross 3.1x ROI and 43% IRR.

Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle was initially capitalized with a \$1.1 billion common equity commitment, which includes \$1.0 billion from Fund XI and \$100 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to \$100 million, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of \$50 million.

In Q2 2022, Double Eagle closed on additional commitments from Friends and Family, raising the total commitment to be \$1.15 billion. This includes \$900 million from Fund XI, \$154 million from Friends and Family, and \$100 million from Management.

In Q1 2023, Double Eagle’s commitment was expanded by 50% in order to continue acreage acquisitions and execution at scale with the intention to transfer the commitment to Fund XII upon fundraising first close and Fund XI will receive a return of 8% for dollars previously funded. This matter was brought to the Fund XI advisory board in Q4 2022 who approved the expansion and subsequent commitment transfer.

In Q2 2023, Double Eagle’s \$450 million commitment expansion was transferred from Fund XI to Fund XII and Fund XI received a return of 8% from Fund XII for dollars previously funded. In Q3 2023, \$100 million of the Fund XII commitment was transferred to select co-investors.

Recent Events

As of September 30, 2023, Double Eagle has closed on >50,000 net acres in the Permian Basin through numerous acquisitions and trades. During the quarter, they increased their development pace to a 5-rig



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EnCap Energy Capital Fund XII

Portfolio Companies

development program. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or a competitive advantage.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
June-23	\$273,703	\$0	\$297,793	\$297,793	1.09x	N/A



Grayson Mill Energy III, LLC

Company Description

Grayson Mill Energy III is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill III management team is comprised of the same senior management team as Grayson Mill I and Grayson Mill II. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdorn previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdorn worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company’s strategy in the Bakken.

Transaction Summary

Grayson Mill Energy III was formed in Q2 2023 in conjunction with the announced acquisition of Ovintiv’s Bakken assets for \$825 million. At signing, Fund X and Fund XI posted a ~\$41 million deposit to secure the deal. Subsequently, the company was capitalized with \$904 million of total equity commitments: (i) \$67 million Fund X, (ii) \$133 million Fund XI, (iii) \$400 million Fund XII, (iv) \$300 million co-investors, and (v) \$4 million management. Management’s initial \$4 million commitment will expand up to \$20 million as ongoing distributions are made from Grayson Mill II. Approximately \$245 million of the \$300 million in commitments from co-investors was closed in June 2023, and the balance closed in July 2023. The investment is structured in the form of common equity with investors receiving a proportionate share of the distributions until an 8% IRR and 1.00x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2023, Grayson Mill III closed its acquisition of Ovintiv’s Bakken assets for \$825 million. Ovintiv’s Bakken assets include ~44k net acres producing ~34 MBoe/d net (80% liquids). The valuation was highly compelling with significant hard value coverage and purchased at a ~2.0x EBITDA multiple. The asset has significant upside in the form of ~200 gross / ~130 net risked development locations and refrac opportunities. EnCap believes the team is well-equipped to efficiently operate and develop its inventory, while also adding additional inventory through the company’s ongoing business development efforts.

Recent Events

Management formally brought operations in-house in Q3 2023. The team is running a 1-rig program and performing refracs in conjunction with new development.

Grayson Mill III is maintaining a moderate reinvestment rate and has a strong balance sheet and leverage profile (<1.0x). The company expects to initiate a distribution program in early 2024 from free cash flow. The team is also actively evaluating additional bolt-on opportunities.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
June-23	\$206,914	\$0	\$273,087	\$273,087	1.32x	N/A



Ridge Runner Resources II, LLC

Company Description

Ridge Runner Resources II, LLC (“Ridge Runner” or “the Company”) was formed in August 2023 and is based in Houston, TX. Ridge Runner is led by Scott Germann (Co-CEO/Chairman) and Brian Cassens (Co-CEO), as well as Aaron Gaydosik (CFO) and Brad Grandstaff (COO). The core management team previously worked together to orchestrate the turnaround at Chisholm Energy (Warburg Pincus) which ultimately sold to Earthstone in February 2022 for \$604 million, representing a 4.5x value uplift from when the new management team took over operations.

Ridge Runner will initially focus its efforts in the Delaware Basin where management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational experience as it employs an acquire, exploit, and optimization strategy of undervalued, liquids-rich assets.

Transaction Summary

In August 2023, Fund XII committed \$146.3 million and management committed \$3.8 million, providing a total equity commitment of \$150.0 million to the Company. The investment is structured in the form of common equity with Fund XII receiving 97.5% of distributed cash until an 8% IRR or 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Ridge Runner is currently evaluating numerous opportunities within its initial focus area.

Valuation (\$000's)

The investment in Ridge Runner II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-23	\$4,875	\$0	\$4,875	\$4,875	1.00x	N/A



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EnCap Energy Capital Fund XII

Section IV: Financial Statements

ENCAP ENERGY CAPITAL FUND XII, L.P.

FINANCIAL STATEMENTS

SEPTEMBER 30, 2023

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	September 30, 2023
ASSETS	
Investments, at fair value (cost \$485,492,512)	\$ 575,808,814
Cash and cash equivalents	10,216,988
Due from affiliate	10,651,056
Total assets	<u>\$ 596,676,858</u>
LIABILITIES AND PARTNERS' CAPITAL	
Due to Limited Partners	\$ 54,406
Total liabilities	<u>54,406</u>
Partners' capital:	
General Partner	—
Related Limited Partners	24,594,787
Limited Partners	<u>572,027,665</u>
Total partners' capital	<u>596,622,452</u>
Total liabilities and partners' capital	<u>\$ 596,676,858</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

SCHEDULE OF INVESTMENTS

SEPTEMBER 30, 2023

	<u>% owned</u>	<u>Cost</u>	<u>Fair Value</u>	<u>% of net assets</u>
Private equity investment holdings:				
EnCap DE IV Co-Invest, LLC	77.8%	\$ 273,703,098	\$ 297,781,054	49.9%
EnCap GM III Co-Invest, LLC	57.1%	206,914,414	273,152,760	45.8%
Ridge Runner Resources II, LLC	97.5%	4,875,000	4,875,000	0.8%
Total investments		<u>\$ 485,492,512</u>	<u>\$ 575,808,814</u>	<u>96.5%</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF OPERATIONS

PERIOD FROM INCEPTION (May 17, 2023) TO SEPTEMBER 30, 2023

Investment income:	
Interest	\$ 3,752,546
Total investment income	<u>3,752,546</u>
Expenses:	
Management fees	3,617,065
General and administrative	307,648
Organization costs	<u>2,872,248</u>
Total expenses	<u>6,796,961</u>
Net investment loss	<u>(3,044,415)</u>
Unrealized gain on investments:	
Net change in unrealized appreciation on investments	<u>90,316,302</u>
Net unrealized gain on investments	<u>90,316,302</u>
Net increase in partners' capital resulting from operations	<u>\$ 87,271,887</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	<u>General Partner</u>	<u>Related Limited Partners</u>	<u>Limited Partners</u>	<u>Total</u>
Partners' capital at May 17, 2023 (date of inception)	\$ —	\$ —	\$ —	\$ —
Capital contributions	—	20,848,038	488,502,527	509,350,565
Management Fees	—	—	(3,617,065)	(3,617,065)
Net increase in partners' capital resulting from operations (excluding management fees)	—	3,746,749	87,142,203	90,888,952
Partners' capital at September 30, 2023	<u>\$ —</u>	<u>\$ 24,594,787</u>	<u>\$ 572,027,665</u>	<u>\$ 596,622,452</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

STATEMENT OF CASH FLOWS

PERIOD FROM INCEPTION (May 17, 2023) TO SEPTEMBER 30, 2023

Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	\$ 87,271,887
Adjustments to reconcile increase in partners' capital resulting from operations to net cash used for operating activities:	
Purchase of investments	(485,492,512)
Change in unrealized appreciation on investments	(90,316,302)
Change in operating assets and liabilities	
(Increase) decrease in due from affiliate	(10,651,056)
Increase (decrease) in due to Limited Partners	54,406
Net cash used for operating activities	<u>(499,133,577)</u>
Cash flows from financing activities:	
Contributions from partners	<u>509,350,565</u>
Net cash provided by financing activities	<u>509,350,565</u>
Net change in cash and cash equivalents	10,216,988
Cash and cash equivalents, beginning of period	<u>—</u>
Cash and cash equivalents, end of period	<u>\$ 10,216,988</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XII, L.P. (the “Partnership”), a Delaware limited partnership, was formed on February 27, 2023 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the “Partnership Agreement”) dated May 17, 2023, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XII GP, L.P. (“General Partner”), a Delaware limited partnership, is the sole general partner for the Partnership. The Partnership held its initial closing on May 17, 2023 and has not held its final close. There are 124 investors owning the limited partnership interests (“Limited Partners”) and 8 investors owning the related limited partnership interests (“Related Limited Partners” and collectively with the General Partner and Limited Partners, the “Partners”). The Related Limited Partners’ and Limited Partners’ total capital commitments to the Partnership are \$69.8 million and \$1,623.1 million, respectively. The Partners’ total outstanding commitments as of September 30, 2023 were approximately \$1,183.5 million. The ratio of total contributed capital to total committed capital is 30.1%. The Partnership has committed \$896.3 million to portfolio companies, of which \$410.8 million remains unfunded at September 30, 2023.

The Partnership shall be dissolved upon the expiration of a 10-year period commencing the date of final closing, unless the Limited Partner Advisory Committee and General Partner agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification (“ASC”) 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board (“FASB”) guidance “Fair Value Measures,” establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

- Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

- Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;
- Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment. Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

All investments carried on the Statement of Assets, Liabilities and Partner's Capital are classified as level 3. Such investments total \$575,808,814 as of September 30, 2023.

During the period from inception (May 17, 2023) to September 30, 2023, purchases of Level 3 investments totaled \$485,492,512. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the period from inception (May 17, 2023) to September 30, 2023, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 25% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

The General Partner may elect to hold multiple closings in order to admit additional Limited Partners to the Partnership following the initial closing or to accept increased commitments from existing Limited Partners, in each case on substantially the same terms as the initial Limited Partners' commitments were accepted, for eighteen months following the initial closing. The value of the Partnership's investments during this eighteen month period may fluctuate, including by significantly increasing in value. Regardless of any increase in value of the Partnership's investments, Limited Partners admitted to the Partnership in subsequent closings will be required to contribute to the Partnership an amount equal to the amount such Limited Partner would have contributed to make investments and pay expenses (including the management fee) if such Limited Partner's commitment had been made on the initial closing, plus, in certain cases, an

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

interest component. As a result, Limited Partners who acquired interests prior to the admission of later admitted Limited Partners may be diluted in respect of any appreciation of the Partnership's investments during the period prior to the later admitted Limited Partners' admission to the extent that the appreciation during such period is greater than such interest component. Although any such new Limited Partner will be required to contribute its pro rata share of previously made capital contributions, there can be no assurance that this contribution will reflect the fair value of the Partnership's existing investments at the time of such contributions.

Refer to the EnCap Energy Capital Fund XII private placement memorandum for risks and consideration related to the Partnership.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I (“Fidelity money market account”), a money market fund which contains investments with weighted average maturities of three months or less. As of September 30, 2023, the Partnership has cash in its Fidelity money market account of \$10,216,988. The Partnership places its cash and cash equivalents with financial institutions, and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Organization Costs

Organization costs incurred during the development stage of the Partnership were expensed as incurred. During the period from inception (May 17, 2023) to September 30, 2023, the Partnership incurred and expensed organization costs of \$2,872,248.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of September 30, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2023. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of September 30, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments during the period from inception (May 17, 2023) to September 30, 2023 are as follows:

	Contributions	Proceeds
Private equity investment holdings:		
EnCap DE IV Co-Invest, LLC	\$ 273,703,098	\$ —
EnCap GM III Co-Invest, LLC	206,914,414	—
Ridge Runner Resources II, LLC	4,875,000	
	<u>\$ 485,492,512</u>	<u>\$ —</u>

Contributions during the period from inception (May 17, 2023) to September 30, 2023 to EnCap DE IV Co-Invest, LLC, included \$11,001,020 of interest paid to an affiliate. See further discussion in Note 5.

Contributions during the period from inception (May 17, 2023) to September 30, 2023 to EnCap GM III Co-Invest, LLC, included \$247,747 of interest paid to affiliates. See further discussion in Note 5.

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 4 – ALLOCATIONS TO PARTNERS:

Net proceeds of the Fund's investments will be apportioned among the Fund's partners in the proportion a partner's commitment bears to the aggregate commitments to the Fund. The amount apportioned to the Related Limited Partners will be distributed to the Related Limited Partners and the amount apportioned to each Limited Partner will be distributed as a return of all investment costs, fees, and expenses until such time as the Limited Partners receive an 8% per annum compounded annually internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase (decrease) in partners' capital resulting from operations was allocated between the General Partner, Related Limited Partners and Limited Partners in accordance with the allocation methodology described above. During the period from inception (May 17, 2023) to September 30, 2023, net increase in partners' capital resulting from operations allocated to the Related Limited Partners and Limited Partners was \$3,746,749 and \$83,525,138, respectively.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to the Management Fee Rate, as defined in the Partnership Agreement, of Limited Partner commitments or of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to the Management Fee Rate of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any permanent write-down or writeoff, as determined by the General Partner. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the period from inception (May 17, 2023) to September 30, 2023, the Partnership paid management fees of \$3,617,065 to the General Partner.

During the nine months ended September 30, 2023, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, \$271,998 for general and administrative expenses. At September 30, 2023, the Partnership owed \$35,650 to EnCap for general and administrative expenses. At September 30, 2023, the Partnership owed \$2,872,248 to EnCap for organization costs.

ENCAP ENERGY CAPITAL FUND XII, L.P.

NOTES TO FINANCIAL STATEMENTS

During June 2023, the Partnership funded its initial investment in EnCap DE IV Co-Invest, LLC, through an assignment of membership interest agreement with EnCap Energy Capital Fund XI, L.P. ("Fund XI"), an affiliate of the Partnership. The assignment agreement was approved by the Partnership's Advisory Board. In accordance with the assignment agreement dated June 8, 2023, the Partnership paid \$11,001,020 to Fund XI for accrued interest for the period of the initial investments by Fund XI to the date of the assignment agreement (June 8, 2023).

During June 2023, the Partnership funded its initial investment in EnCap GM III Co-Invest, LLC, through an assignment of membership interest agreement with Fund XI and EnCap Energy Capital Fund X, L.P. ("Fund X"), an affiliate of the Partnership. The assignment agreement was approved by the Partnership's Advisory Board. In accordance with the assignment agreement dated June 9, 2023, the Partnership paid \$247,747 to Fund XI and Fund X for accrued interest for the period of the initial investments by Fund XI and Fund X to the date of the assignment agreement (June 9, 2023).

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND XII-B, L.P.
FINANCIAL STATEMENTS
SEPTEMBER 30, 2023

ENCAP ENERGY CAPITAL FUND XII-B, L.P.
STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	<u>September 30,</u> <u>2023</u>
ASSETS	
Investment in EnCap Energy Fund XII Feeder Blocker, L.P., at fair value	\$ 3,524,269
Cash	<u>1,350</u>
Total assets	<u><u>\$ 3,525,619</u></u>
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	\$ 3,613
Total liabilities	<u>3,613</u>
Partners' capital:	
General Partner	—
Related Limited Partners	352,201
Limited Partners	<u>3,169,805</u>
Total partners' capital	<u>3,522,006</u>
Total liabilities and partners' capital	<u><u>\$ 3,525,619</u></u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII-B, L.P.

STATEMENT OF OPERATIONS

PERIOD FROM INCEPTION (March 14, 2023) TO SEPTEMBER 30, 2023

Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.:	
Investment income	\$ 22,166
Investment expense	(38,431)
Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	<u>(16,265)</u>
Investment income:	
Interest	<u>1,391</u>
Total investment income	<u>1,391</u>
Expenses:	
General and administrative	<u>3,654</u>
Total expenses	<u>3,654</u>
Net investment loss	<u>(18,528)</u>
Unrealized gain on investments allocated from EnCap Energy Fund XII Feeder Blocker, L.P.:	
Net change in unrealized appreciation on investments	<u>533,502</u>
Net unrealized gain on investments allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	<u>533,502</u>
Income before provision for income taxes	<u>514,974</u>
Provision for income tax	<u>—</u>
Net increase in partners' capital resulting from operations	<u>\$ 514,974</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII-B, L.P.
STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	<u>General Partner</u>	<u>Related Limited Partners</u>	<u>Limited Partners</u>	<u>Total</u>
Partners' capital at March 14, 2023	\$ —	\$ —	\$ —	\$ —
Capital contributions	—	298,739	2,708,293	3,007,032
Net increase in partners' capital resulting from operations	—	53,462	461,512	514,974
Partners' capital at September 30, 2023	<u>\$ —</u>	<u>\$ 352,201</u>	<u>\$ 3,169,805</u>	<u>\$ 3,522,006</u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII-B, L.P.

STATEMENT OF CASH FLOWS

PERIOD FROM INCEPTION (March 14, 2023) TO SEPTEMBER 30, 2023

Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	\$ 514,974
Adjustments to reconcile increase in partners' capital resulting from operations to net cash used for operating activities:	
Purchase of EnCap Energy Fund XII Feeder Blocker, L.P.	(3,007,032)
Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	16,265
Change in unrealized appreciation on investment	(533,502)
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	3,613
Net cash used for operating activities	<u>(3,005,682)</u>
Cash flows from financing activities:	
Contributions from partners	<u>3,007,032</u>
Net cash provided by financing activities	<u>3,007,032</u>
Net change in cash	1,350
Cash, beginning of period	—
Cash, end of period	<u><u>\$ 1,350</u></u>

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XII-B, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XII-B, L.P. (the "Partnership"), a Delaware limited partnership, was formed on March 14, 2023 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund XII, L.P. ("Fund XII"), a Delaware limited partnership, indirectly through its interest in EnCap Energy Fund XII Feeder Blocker, L.P. ("Blocker"). Fund XII was formed on May 17, 2023 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated March 14, 2023, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XII GP, L.P. ("General Partner"), a Delaware limited partnership, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership held its initial closing on June 30, 2023 and has not held its final close. There are 2 investors owning the limited partnership interests ("Limited Partners") and 1 investor owning the related limited partnership interests ("Related Limited Partners" and collectively with the General Partner and Limited Partner, the "Partners"). The Related Limited Partners' and Limited Partners' total capital commitments to the Partnership are \$1.0 million and \$9.0 million, respectively. The Partners' total outstanding commitments as of September 30, 2023 were approximately \$7.0 million. The ratio of total contributed capital to total committed capital is 30.0%.

Through its investment in Blocker, the Partnership indirectly invests in all corresponding investments in Fund XII and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund XII partnership agreement. The financial statements of Fund XII, including the Schedule of Investments, are attached to this report and should be read with the Partnership's consolidated financial statements. The Partnership's funded ownership interest in Fund XII is 0.590704%.

The Partnership shall be dissolved upon the dissolution of Fund XII or the expiration of a 10-year period commencing the date of final closing of Fund XII, unless the Limited Partner Advisory Committee and General Partner agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the consolidated financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

ENCAP ENERGY CAPITAL FUND XII-B, L.P.

NOTES TO FINANCIAL STATEMENTS

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

- Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;
- Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;
- Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of September 30, 2023, the investment in Blocker is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund XII's valuation policies are discussed in Note 2 of the Fund XII financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund XII is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund XII's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund XII may not invest more than 25% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund XII to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund XII may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund XII in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund XII might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund XII. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

The General Partner may elect to hold multiple closings in order to admit additional Limited Partners to the Partnership following the initial closing or to accept increased commitments from existing Limited Partners, in each case on substantially the same terms as the initial Limited Partners' commitments were accepted,

ENCAP ENERGY CAPITAL FUND XII-B, L.P.

NOTES TO FINANCIAL STATEMENTS

for eighteen months following the initial closing. The value of the Partnership's investments during this eighteen month period may fluctuate, including by significantly increasing in value. Regardless of any increase in value of the Partnership's investments, Limited Partners admitted to the Partnership in subsequent closings will be required to contribute to the Partnership an amount equal to the amount such Limited Partner would have contributed to make investments and pay expenses (including the management fee) if such Limited Partner's commitment had been made on the initial closing, plus, in certain cases, an interest component. As a result, Limited Partners who acquired interests prior to the admission of later admitted Limited Partners may be diluted in respect of any appreciation of the Partnership's investments during the period prior to the later admitted Limited Partners' admission to the extent that the appreciation during such period is greater than such interest component. Although any such new Limited Partner will be required to contribute its pro rata share of previously made capital contributions, there can be no assurance that this contribution will reflect the fair value of the Partnership's existing investments at the time of such contributions.

Refer to the EnCap Energy Capital Fund XII private placement memorandum for risks and consideration related to the Partnership.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I (“Fidelity money market account”), a money market fund which contains investments with weighted average maturities of three months or less. As of September 30, 2023, the Partnership has cash in its Fidelity money market account of \$1,350. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund XII's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Partnership's consolidated financial statements include provisions for income tax expense and income taxes payable by its subsidiary, Blocker. In accordance with the FASB guidance “Income Taxes”, Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. Income taxes paid and payable by Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

The Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of September 30, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2023. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after

ENCAP ENERGY CAPITAL FUND XII-B, L.P.

NOTES TO FINANCIAL STATEMENTS

December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's consolidated financial statements as of September 30, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership will be apportioned to the Partners in the proportion a partner's commitment bears to the aggregate commitments to the Partnership.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the period from inception (March 14, 2023) to September 30, 2023, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, \$0 for general and administrative expenses. At September 30, 2023, the Partnership owed EnCap \$3,653 for general and administrative expenses.

NOTE 5 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY
CONSOLIDATED FINANCIAL STATEMENTS
SEPTEMBER 30, 2023

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY
CONSOLIDATED STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	September 30, 2023
ASSETS	
Investment in EnCap Energy Fund XII Feeder Blocker, L.P., at fair value	\$ 986,795
Cash	685
Total assets	<u>\$ 987,480</u>
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	\$ 4,304
Total liabilities	<u>4,304</u>
Partners' capital:	
General Partner	—
Limited Partners	<u>983,176</u>
Total partners' capital	<u>983,176</u>
Total liabilities and partners' capital	<u>\$ 987,480</u>

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF OPERATIONS

PERIOD FROM INCEPTION (March 29, 2023) TO SEPTEMBER 30, 2023

Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.:	
Investment income	\$ 6,207
Investment expense	(7,112)
Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	(905)
Investment income:	
Interest	1,271
Total investment income	1,271
Expenses:	
General and administrative	4,890
Total expenses	4,890
Net investment loss	(4,524)
Unrealized gain on investments allocated from EnCap Energy Fund XII Feeder Blocker, L.P.:	
Net change in unrealized appreciation on investments	149,380
Net unrealized gain on investments allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	149,380
Income before provision for income taxes	144,856
Provision for income tax	-
Net increase in partners' capital resulting from operations	\$ 144,856

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY
CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	<u>General Partner</u>	<u>Limited Partners</u>	<u>Total</u>
Partners' capital at March 29, 2023	\$ —	\$ —	\$ —
Capital contributions	—	838,320	838,320
Net increase in partners' capital resulting from operations	<u>—</u>	<u>144,856</u>	<u>144,856</u>
Partners' capital at September 30, 2023	<u>\$ —</u>	<u>\$ 983,176</u>	<u>\$ 983,176</u>

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CASH FLOWS

PERIOD FROM INCEPTION (March 29, 2023) TO SEPTEMBER 30, 2023

Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	\$ 144,856
Adjustments to reconcile increase in partners' capital resulting from operations to net cash used for operating activities:	
Purchase of EnCap Energy Fund XII Feeder Blocker, L.P.	(838,320)
Net investment loss allocated from EnCap Energy Fund XII Feeder Blocker, L.P.	905
Change in unrealized appreciation on investment	(149,380)
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	4,304
Net cash used for operating activities	<u>(837,635)</u>
Cash flows from financing activities:	
Contributions from partners	<u>838,320</u>
Net cash provided by financing activities	<u>838,320</u>
Net change in cash	685
Cash, beginning of period	—
Cash, end of period	<u><u>\$ 685</u></u>

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XII-C, L.P. (the “Partnership”), a Cayman exempt limited partnership, was formed on March 29, 2023 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund XII, L.P. (“Fund XII”), a Delaware limited partnership, indirectly through its interest in EnCap Energy Fund XII Feeder Blocker, L.P. (“Blocker”). Fund XII was formed on May 17, 2023 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the “Partnership Agreement”) dated March 29, 2023, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XII GP, L.P. (“General Partner”), a Delaware limited partnership, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership held its initial closing on June 30, 2023 and has not held its final close. There are 4 investors owning the limited partnership interests (“Limited Partners”) in the Partnership. The Limited Partners’ total capital commitments to the Partnership are \$2.8 million. The Limited Partners’ total outstanding commitments as of September 30, 2023 were approximately \$2.0 million. The ratio of total contributed capital to total committed capital is 30.0%.

Through its investment in Blocker, the Partnership indirectly invests in all corresponding investments in Fund XII and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund XII partnership agreement. The financial statements of Fund XII, including the Schedule of Investments, are attached to this report and should be read with the Partnership’s consolidated financial statements. The Partnership’s funded ownership interest in Fund XII is 0.165397%. EnCap Energy Fund XII-C Feeder Blocker, L.P. (“C Blocker”), a wholly-owned subsidiary of the Partnership, was formed on April 11, 2023, for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund XII.

The Partnership shall be dissolved upon the dissolution of Fund XII or the expiration of a 10-year period commencing the date of final closing of Fund XII, unless the Limited Partner Advisory Committee and General Partner agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification (“ASC”) 946, Financial Services – Investment Companies.

Consolidation

C Blocker is included in the accounts of the Partnership. All intercompany balances and transactions have been eliminated from the consolidated financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the consolidated financial statements and the reported amounts of revenue and expenses during the

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

- Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;
- Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;
- Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of September 30, 2023, the investment in Blocker is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund XII's valuation policies are discussed in Note 2 of the Fund XII financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund XII is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund XII's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund XII may not invest more than 25% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund XII to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund XII may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund XII in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund XII might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund XII. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The General Partner may elect to hold multiple closings in order to admit additional Limited Partners to the Partnership following the initial closing or to accept increased commitments from existing Limited Partners, in each case on substantially the same terms as the initial Limited Partners' commitments were accepted, for eighteen months following the initial closing. The value of the Partnership's investments during this eighteen month period may fluctuate, including by significantly increasing in value. Regardless of any increase in value of the Partnership's investments, Limited Partners admitted to the Partnership in subsequent closings will be required to contribute to the Partnership an amount equal to the amount such Limited Partner would have contributed to make investments and pay expenses (including the management fee) if such Limited Partner's commitment had been made on the initial closing, plus, in certain cases, an interest component. As a result, Limited Partners who acquired interests prior to the admission of later admitted Limited Partners may be diluted in respect of any appreciation of the Partnership's investments during the period prior to the later admitted Limited Partners' admission to the extent that the appreciation during such period is greater than such interest component. Although any such new Limited Partner will be required to contribute its pro rata share of previously made capital contributions, there can be no assurance that this contribution will reflect the fair value of the Partnership's existing investments at the time of such contributions.

Refer to the EnCap Energy Capital Fund XII private placement memorandum for risks and consideration related to the Partnership.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of September 30, 2023, the Partnership has cash in its Fidelity money market account of \$685. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund XII's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Partnership's consolidated financial statements include provisions for income tax expense and income taxes payable by its subsidiary, Blocker. In accordance with the FASB guidance "Income Taxes", Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. Income taxes paid and payable by Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

ENCAP ENERGY CAPITAL FUND XII-C, L.P. AND SUBSIDIARY

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of September 30, 2023, the earliest tax year that remains subject to examination under the standard limitation period is 2023. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's consolidated financial statements as of September 30, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership will be apportioned to the Partners in the proportion a partner's commitment bears to the aggregate commitments to the Partnership.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the period from inception (March 29, 2023) to September 30, 2023, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, \$0 for general and administrative expenses. At September 30, 2023, the Partnership owed EnCap \$4,889 for general and administrative expenses.

NOTE 5 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.